

Intrinsic value models that assume away mean reversion in return on invested capital will systematically render valuations that are too optimistic. In a few instances this will be justified. In the vast majority it will not. Mauboussin concludes with the crucial observation that the investor's objective is to find *mispriced* securities or "situations where the expectations implied by the stock price don't accurately reflect the fundamental outlook:"³¹

A company with great fundamental performance may earn a market rate of return if the stock price already reflects the fundamentals. You don't get paid for picking winners; you get paid for unearthing mispricings. Failure to distinguish between fundamentals and expectations is common in the investment business.

Both business and investment are systems the results of which are determined by a mix of skill and luck, thus we expect them both to exhibit mean reversion over time. Value investors anticipate mean reversion in securities prices, but if we seek only Buffett's "wonderful companies," we are ignoring or underestimating the impact of mean reversion at the business level. Just as expensive, cellared bottles of wine turn out to be vinegar, so too do apparently high-quality stocks disappoint. Anticipation of mean reversion in financial results is the main point of distinction for deep value from Buffett's "wonderful companies" method. At its core, such an investment strategy is a bet that the business will not revert to the average, but will continue to earn superior returns on capital. As Graham theorized, and Mauboussin has demonstrated, it is the rare company that does not return to the pack. In most cases competition and other corrective forces work on the highly profitable business to push its returns back to the mean. The better bet is the counterintuitive one: deep undervaluation *anticipating mean reversion*. It's Warren Buffett in his American Express investment, rather than his See's Candy investment. An appreciation of mean reversion is critical to value investment. In the next chapter we examine a legend about the relationship between luck, skill, and mean reversion and the research into mean reversion in securities.

Notes

1. Steven Friedman. "Joel Greenblatt and Robert Goldstein of Gotham Asset Management, LLC." *Santangel's Review*, March 2011.
2. Benjamin Graham. "A Conversation with Benjamin Graham." *Financial Analysts Journal*, Vol. 32, No. 5 (1976), pp. 20–23.
3. Ibid.
4. Ibid.